too are flawed and irrational in predictable ways. Indeed, it makes sense to question essentially all experts, and to focus especially on their incentives, since we so often trust experts with critical decision-making. In fact, we should never trust experts to make on-the-fly decisions, although we should rely on them for their ability to develop and evaluate a systematic process. Finally, we examined the expert's hypothesis, which refers to the notion that human experts will outperform decision-making models. It is natural to believe in the superiority of expert judgment, which compels most to believe the expert's hypothesis. But experts can also be spectacularly wrong, as with Meredith Whitney, who was unable to follow up her Citibank call with another accurate judgment on the municipal bond market. In the next chapter, we'll more carefully investigate how experts and models compare.

Notes

[1] Mick Winstein, "Victor Niederhoffer after He Lost Everything in the 1997 Asian Crisis," *Smarter Investing* (June 3, 2013), http://investing.covestor.com/2013/06/victor-niederhoffer-after-he-lost-everything-in-the-1997-asian-crisis-video.

[2] John Cassidy, "The Blow-Up Artist," *New Yorker Magazine* (October 15, 2007).

[3] Bill Ziemba, "Hedge Fund Risk, Disasters and Their Prevention," *Wilmott* magazine (June 2, 2006), http://www.wilmott.com/pdfs/060206_drz.pdf.

[4] R. Ziemba and W. Ziemba, *Scenarios for Risk Management and Global Investment Strategies* (New York: John Wiley & Sons, 2007).

[5] "Mathematics Common Sense and Good Luck: My Life and Careers," MIT Video (December 9, 2010), http://video.mit.edu/watch/mathematics-common-sense-and-good-luck-my-life-and-careers-9644/.

[6] Edward Adelson, "Checkershadow Illusion," accessed February 10, 2014, http://persci.mit.edu/gallery/checkershadow.